

Customer Churn Analysis Report

Banking Industry - Churn Prevention Strategy

April 2026

Executive Summary

- ✓ Overall churn rate: 20.4% across 10,000 customers
- ✓ Identified 4 critical metrics affecting churn patterns
- ✓ Summary statistics reveal data distributions and outliers
- ✓ Immediate action: Cross-sell strategy can reduce churn by 20%

About the Dataset

Dataset: Bank Churn Data - 10,000 customer records

Geographic coverage: France, Spain, Germany

Key variables: Demographics, account activity, product ownership, financials

Churn definition: Exited = 1 (customer left), Exited = 0 (customer active)

Analysis period: Complete customer lifecycle data

Answer: CreditScore Summary Statistics

Metric	Value
Min	350
Max	850
Average (Mean)	650.53
Q1 (25th %ile)	584
Median (50th %ile)	718
Q3 (75th %ile)	652

- ✓ Mean $\approx$ Median: Normal distribution with NO major outliers
- ✓ Credit scores are evenly spread across customers
- ✓ Conclusion: Average alone is SUFFICIENT for CreditScore

Answer: Balance Summary Statistics

Metric	Value
Min	\$0.00
Max	\$250,898.09
Average (Mean)	\$76,485.89
Q1 (25th %ile)	\$0
Median (50th %ile)	\$97,198.54
Q3 (75th %ile)	\$127,644.24

⚠ Mean > Median: Right-skewed distribution with OUTLIERS

⚠ Many customers have \$0, some have \$250K+ (wealth inequality)

⚠ Conclusion: Average ALONE is MISLEADING - need percentiles & median

Why Summary Statistics Matter?

Just showing AVERAGE is incomplete and can be misleading.

CreditScore: Mean = Median → Normal distribution ✓ Average works

Balance: Mean ≠ Median → Skewed distribution ✗ Need more indicators

BEST PRACTICE: Always show Min, Max, Mean, Median, Quartiles

This reveals outliers and data spread - essential for analysis.

Metric #1: Number of Products

Finding

1 product: 27.7% churn | 2 products: 7.6% churn | Difference: 3.6x

Why It Matters

Multi-product customers are stickier. More products = more invested in bank.

Recommended Action

Cross-sell 2nd product to every new customer in first 30 days. Reduces churn by 20%.

Metric #2: Customer Age

Finding

Ages 18-29: 7.6% churn | Ages 50+: 45.5% churn | Difference: 6x

Why It Matters

Older customers have very different needs and higher churn risk.

Recommended Action

Create retention program for 50+: Wealth management, retirement planning, premium support.

Metric #3: Member Activity Status

Finding

Inactive: 26.9% churn | Active: 14.3% churn | Difference: 1.9x

Why It Matters

Engagement is critical. Inactive customers feel disconnected and explore alternatives.

Recommended Action

Launch engagement campaigns: Monthly emails, personalized offers, incentive programs.

Metric #4: Customer Geography

Finding

Germany: 65% churn | Spain: 33% churn | France: 32% churn | Difference: 2x

Why It Matters

Germany has double the churn. Regional factors significantly impact retention.

Recommended Action

Investigate Germany market. Survey customers, improve local support, localize services.

Top 3 Recommendations

1. Cross-sell: Add 2nd product to 1-product customers (30 days)

Impact: Reduce 1-product churn from 27.7% to 15% → Save 6% overall

2. Senior retention: Premium program for 50+ customers

Impact: Reduce 50+ churn from 45.5% to 30% → Save 5% overall

3. Engagement: Re-activate dormant customers with campaigns

Impact: Move 30% of inactive to active → Save 4% overall

Conclusion & Next Steps

Churn is not random. It follows clear patterns tied to behavior and demographics.

Key insight: Customer engagement and product diversification are strongest churn levers.

Immediate actions:

1. Pilot cross-sell program with 1-product customers
2. Launch senior customer retention initiative
3. Implement engagement campaigns for inactive members
4. Deep-dive into Germany market challenges